

Employing in Colombia

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Colombian Labour Code
- **Monthly payroll** — salary payments in COP, itemised payslips filed via PILA
- **Tax withholding** — progressive income tax withheld and remitted to DIAN
- **Pension, health, ARL & parafiscales** — the full statutory contribution stack
- **Leave and termination management** — cesantías, prima de servicios and severance guidance

Employment Conditions

Contracts & Probation

Item	Detail	Legal Basis
Probation period	Maximum 2 months (or 1/5 of the contract term for fixed-term contracts under 1 year)	Labour Code
PILA filing	Monthly integrated contribution declaration via the PILA digital platform	Ministry of Health / DIAN
Standard hours	Maximum 46 hours/week for 2026 (gradually reducing to 42 hours by 2026 under Law 2101)	Law 2101 of 2021

Minimum Wage & Statutory On-Costs (2026)

Measure	Rate	Notes
Minimum wage (SMLMV)	COP 1,750,905/month	Contribution base cannot be lower than this for ordinary salaried employees; capped at 25x SMLMV (COP 43,772,625)
Pension (employer)	~12% of monthly salary	Combined pension contribution is 28.5% (75% employer / 25% employee)
Health (EPS, employer)	8.5% of monthly salary	Employee adds 4%
ARL (occupational risk insurance)	0.522%–6.96% of payroll, risk-class dependent	100% employer-funded
Caja de Compensación Familiar	4% of payroll	Employer-funded family compensation fund

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	15 working days/year	Employer	Labour Code minimum
Cesantías (severance savings)	1 month's salary per year of service, deposited annually	Employer, 8.33% of monthly salary accrued	Deposited into a severance fund by 14 February each year, accessible on termination or for specific approved uses
Interest on Cesantías	12% annual interest on the cesantías balance	Employer	Paid directly to the employee, not the fund
Prima de Servicios (service bonus)	1 month's salary/year, paid in 2 installments (June, December)	Employer	Distinct from cesantías — a genuine 13th/14th-month-style bonus

★ HERO TIP

Colombia layers four separate annual/statutory payments on top of ordinary salary — cesantías (severance savings, 8.33%), interest on cesantías (12% of that balance), prima de servicios (8.33%), and vacation accrual (4.17%) — each with its own deadline and calculation method. Missing any one of these is a common and costly compliance failure for foreign employers; confirm your HeroForce EOR tracks all four separately.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Pension (12%)	\$360.00	12.00%
Health/EPS (8.5%)	\$255.00	8.50%
ARL (illustrative, 0.522%)	\$15.66	0.52%
Caja de Compensación (4%)	\$120.00	4.00%
Cesantías + interest + prima + vacation (illustrative, ~22%)	\$660.00	22.00%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$5,010.66	~167.0%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. Colombia's total employer contribution burden (38%-56% of salary per most estimates) is among the highest in Latin America once cesantías, prima and interest are included. Employee deductions (withheld separately) include pension (4%), health (4%) and progressive income tax.

Termination & Separation

Severance for termination without just cause depends on salary level — for employees earning up to 10 minimum monthly wages, it is 30 days' salary for the first year of service plus 20 days per additional year (or proportional fraction), on top of any accrued cesantías, interest and prima de servicios.

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day	National
~January	Epiphany (observed Monday under the "Ley Emiliani" shift)	National
~March	St. Joseph's Day (observed Monday)	National
3 April	Good Friday	National
1 May	Labour Day	National
20 July	Independence Day	National
7 August	Battle of Boyacá	National
25 December	Christmas Day	National

Colombia's "Ley Emiliani" moves many religious/civic holidays to the following Monday to create long weekends — always confirm the specific observed date for the year.

Ready to hire in Colombia?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Colombia employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).